

25VECV00385 25VECV00385

County: los-angeles

Division: Civil Law and Motion

Department: I

Hearing date: 2026-09-28

Motion: DEFENDANT GENERAL MOTORS LLC'S MOTION FOR JUDGMENT ON THE PLEADINGS

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Case Number: 25VECV00385 Hearing Date: September 28, 2026 Dept: I

SUPERIOR

COURT OF THE STATE OF CALIFORNIA

COUNTY

OF LOS ANGELES

SARA JACOBS, an individual,

Plaintiff,

vs.

GENERAL

MOTORS, LLC, et al.,

Defendants.

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CASE

NO: 25VECV00385

[TENTATIVE]

ORDER RE: DEFENDANT GENERAL MOTORS LLC'S MOTION
FOR JUDGMENT ON THE PLEADINGS

Dept.

I

DATE:

September 28, 2026

TIME: 8:30 A.M.

COMPLAINT

FILED: January 21, 2025

TRIAL

DATE: November 9, 2026

I.

BACKGROUND

This is

a lemon law action arising out of Plaintiff Sara Jacobs' ("Plaintiff") purchase of a 2018 Cadillac Escalade, VIN: (the "Subject Vehicle") manufactured and/or distributed by Defendant General Motors, LLC ("GM"), which manifested defects and nonconformities during the express warranty period. On January 21, 2025, Plaintiff filed a Complaint against GM and DOES 1 through 10 (collectively, "Defendants"), alleging causes of action for: (1) Violation of Subdivision (d) of Civil Code Section 1793.2; (2) Violation of Subdivision (b) of Civil Code Section 1793.2; (3) Violation of Subdivision (a)(3) of Civil Code Section 1793.2; (4) Breach of the Implied Warranty of Merchantability; and (5) Fraudulent Inducement – Concealment.

On May 9, 2025, GM filed a Demurrer to the Complaint. The matter came for hearing on July 15, 2025; the demurrer was overruled. The same day, GM filed its Answer to the Complaint.

On August 25, 2026, GM filed the instant Motion for Judgment on the Pleadings. On September 14, 2026, Plaintiff filed an Opposition. On September 18, 2026, GM filed a Reply.

II.

LEGAL

STANDARD

A defendant may move for judgment on the pleadings on the grounds that: (1) the court has no jurisdiction of the subject of the cause of action alleged in the complaint; or (2) the complaint does not state facts sufficient to constitute a cause of action against that defendant. (Code Civ. Proc. § 438, subd. (c)(1)(B).)

The standard for ruling on a motion for judgment on the pleadings is essentially the same as that applicable to a general demurrer, that is, under the state of the pleadings, together with matters that may be judicially noticed, it appears that a party is entitled to judgment as a matter

of law. (Bezirdjian v. O'Reilly (2010) 183 Cal.App.4th 316, 321-322 [citing Schabaram v. California Legislature (1998) 60 Cal.App.4th 1205, 1216].) Any defects must either appear on the face of the pleading, or else be taken by judicial notice. (Id. at 321-22.) The parties' ability to prove their respective claims is of no concern. (Cloud, supra, 67 Cal.App.4th 995 at 999.) Though the Court must accept the allegations of the complaint and answer as true (Gerawan Farming, Inc. v. Lyons (2000) 24 Cal.4th 468, 515), it will not do so for "conclusions of law or fact, opinions, speculation, or allegations contrary to law or [judicially noticed] facts...." (Stevenson Real Estate Servs., Inc. v. CB Richard Ellis Real Estate Servs., Inc. (2006) 138 Cal.App.4th 1215, 1219–20.)

"On a motion for judgment on the pleadings, leave to amend should be granted if there is any reasonable possibility that the plaintiff can state a good cause of action." (Lowry v. Port San Luis Harbor Dist. (2020) 56 Cal.App.5th 211, 221 [internal quotations omitted].) "The burden of proving such reasonable possibility is squarely on the plaintiff." (Id.)

III.

DISCUSSION

Meet
and Confer

Before filing a judgment on the pleadings pursuant to this chapter, the moving party shall meet and confer in person, by telephone, or by videoconference with the party who filed the pleading that is subject to the motion for judgment on the pleadings for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the motion for judgment on the pleadings..." (Code Civ. Proc., § 439, subd. (a).)

Here, GM submitted the declaration of its counsel of record, Brian Goh, who attests to the following meet and confer efforts: "On August 24, 2026 around 5pm I spoke with Mr. Lister via phone. We were unable to reach an agreement on GM's intended motion." (Goh Decl., ¶3.) Thus, the Court finds that GM has fulfilled its meet and confer obligations.

Request for Judicial Notice

GM's request for judicial notice of Opt-In

List maintained by the California Department of Consumer Affairs'- Exhibit A is GRANTED pursuant to Evidence Code Section 452, subdivisions (c) and (h).

Merits
of the Motion

GM moves for an order granting judgment in its favor as to all five causes of action asserted in the operative Complaint filed by Plaintiff on the grounds that: (1) the first through third causes of action are time-barred by the six-year statute of repose for express warranty claims under Code of Civil Procedure Section 871.21; (2) the fourth cause of action is time-barred by the four-year statute of limitations; (3) the fifth cause of action fails to plead the essential elements for fraud, is time-barred by the applicable three-year statute of limitations, and is barred by the economic loss rule.

"[T]he California courts have consistently held that a demurrer which raises the defense that a statute of limitation bars the action cannot be sustained unless the facts alleged in the complaint show that the action is barred. If all that appears from the facts alleged is that the action might be barred, the defense cannot be raised by demurrer." (Anderson v. McNally (1957) 150 Cal.App.2d 778, 783; see also Pike v. Zadig (1915) 171 Cal. 273, 277, disapproved of on other grounds by Decesare v. Lember (1983) 144 Cal.App.3d 20, stating ["a demurrer on the ground of the bar of the statute of limitations does not lie, where the complaint merely shows that the action may have been barred. It must appear affirmatively that, upon the facts stated, the right of action is necessarily barred."].)

1. Applicability of Code of Civil Procedure
Section 871.21 (1st-3rd COAs)

In California, "there is a presumption against retroactive application unless the Legislature plainly has directed otherwise by means of 'express language of retroactivity or ... other sources [that] provide a clear and unavoidable implication that the Legislature intended retroactive application.' " (Quarry v. Doe I (2012) 53 Cal.4th 945, 955.) "Ambiguous statutory language will not suffice to dispel the presumption against retroactivity; rather 'a statute that is ambiguous with

respect to retroactive application is construed ... to be unambiguously prospective.’ ” (Id.) As such, courts “must consider ‘the nature and extent of the change in the law and the degree of connection between the operation of the new rule and a relevant past event’ [citation]. In exercising this judgment, ‘familiar considerations of fair notice, reasonable reliance, and settled expectations offer sound guidance. [Citation.]’ [Citation].” (Id. at 955–956.)

The Code

of Civil Procedure Section 871.30, subdivision (c) makes it clear that the Legislature intended the statutory framework of Code of Civil Procedure Section 871.20 et seq. to apply retroactively. Specifically, Code of Civil Procedure Section 871.30, subdivision (c) expressly states that: “Unless a manufacturer has made the election described in subdivision (a), Sections 871.20 to 871.28, inclusive, shall not apply to an action described in subdivision (a) of Section 871.20, including actions already filed between January 1, 2025 and the effective date of the act adding this section, with respect to all of its vehicles sold new in the year 2025 and in all prior years.” (Code Civ. Proc., § 871.30, subd. (c) [emphasis added].) Here, GM made the election to opt-in to the statutory framework of Code of Civil Procedure Section 871.20 et seq. on April 23, 2025, which is within the 30-day window provided under Code of Civil Procedure Section 871.30, subdivision (a). (See RJN, Ex. A; Allison Suppl. Decl., ¶4, Ex. A.) Furthermore, the Complaint was filed on January 21, 2025, which falls within the January 1, 2025 and effective date of the statute, i.e., April 2, 2025. (Compl., 1/21/25.) Moreover, the Complaint alleges that Plaintiff purchased and/or leased a 2018 Cadillac Escalade on or about July 30, 2018 (Compl., ¶16), thus this present action involves a motor vehicle sold in a year prior to 2025.

With respect to Code of Civil Procedure

Section 871.21, subdivision (b), it provides in pertinent part:

“Notwithstanding subdivision (a), an action covered by Section 871.20 shall not be brought later than six years after the date of original delivery of the motor vehicle.” (Code Civ. Proc., § 871.21, subd. (b).) However, “[t]he time periods prescribed in subdivisions (a) and (b) shall be tolled as follows: [¶](1) As provided by tolling requirements prescribed in subdivision (c) of Section 1793.22 of the Civil Code, as applicable. [¶](2) For the time the motor vehicle is out of service by reason of repair for any nonconformity. [¶](3) For the time period after a pre-suit notice is provided to the manufacturer in accordance with Section 871.24, which time period shall

not exceed 60 days.” (Code Civ. Proc., § 871.21, subd. (c).)

As discussed above, the Complaint alleges, inter alia, that Plaintiff purchased and/or leased a 2018 Cadillac Escalade VIN: 1GYS4HKJ4JR294611 (the “Subject Vehicle”) on or about July 30, 2018. (Compl., ¶6.) Taking this allegation as true, the original date of delivery of the Subject Vehicle was on or about July 30, 2018, thus Plaintiff had until on or about July 30, 2024 to file any lemon law express warranty claims against GM. Accordingly, Plaintiff’s first through third cause of actions appear to be time-barred on the face of the Complaint.

In opposition, Plaintiff argues that Code of Civil Procedure Section 871.21 does not apply to the instant action because retrospective application of new procedural statutes to eliminate potential claims is a violation of due process. (Opp. at 1:24-2:3.) Plaintiff cites *Rosefield Packing Co. v. Superior Court* (1935) 4 Cal.2d 120, 122-123, holding that “where the change in remedy, as for example, the shortening of a time limit provision, is made retroactive, there must be a reasonable time permitted for the party affected to avail himself of his remedy before the statute takes effect. If the statute operates to cut off the existing remedy, or within so short a time as to give the party no reasonable opportunity to exercise his remedy, then the retroactive application of it is unconstitutional as to such party.” (Ibid. [citing *Rosefield Packing Co.*, supra, 4 Cal.2d at 122-123].) Plaintiff asserts that “Defendant GM claims that the new statute would require Plaintiff to have filed around July 2024” where Plaintiff would not have known she needed to file such claim in July 2024 because the statute did not exist. (Ibid.)

In reply, GM contends that Code of Civil Procedure Section 871.21 is not violative of due process because consumers were given a reasonable grace period of over three months to file any claims before the new time limits went into effect on January 1, 2025. (Reply at 1:21-2:2.) To the extent that consumers were given a reasonable amount of time to file any claims before the new statutory framework under Code of Civil Procedure Section 871.20 et seq. became effective, Plaintiff’s lemon law express warranty claims are time-barred unless the Complaint sufficiently alleges facts to support statutory tolling under Code of Civil Procedure Section 871.21, subdivision (c).

The Complaint merely alleges in a conclusory

manner that equitable tolling, the discovery rule, equitable estoppel, the repair rule, and/or class action tolling under the American Pipe rule tolls the statute of limitations applicable to Plaintiff's claims. (See Compl., ¶22; in *American Pipe & Construction Co. v. Utah*, (1974) 414 U.S. 538; *Jolly v. Eli Lilly & Co.*, (1988) 44 Cal.3d 1103, 1121; *Nunez v. FCA US LLC*, (2021) 61 Cal.App.5th 385, 394.) The Complaint also alleges that Plaintiff discovered GM's wrongful conduct shortly before the filing of the complaint, as the Vehicle continued to exhibit symptoms of defects following GM's unsuccessful attempts to repair them. (Id., ¶23.)

Additionally, Plaintiff's assertion that equitable tolling applies absent a showing of statutory tolling is unsupported by legal authority. In *California Public Employees' Retirement System v. ANZ Securities, Inc.* (2017) 582 U.S. 497, the court held that "The purpose and effect of a statute of repose, by contrast, is to override customary tolling rules arising from the equitable powers of courts. By establishing a fixed limit, a statute of repose implements a " 'legislative decisio[n] that as a matter of policy there should be a specific time beyond which a defendant should no longer be subjected to protracted liability.' " (*California Public Employees' Retirement System v. ANZ Securities, Inc.* (2017) 582 U.S. 497, 508.) "For this reason, the Court repeatedly has stated in broad terms that statutes of repose are not subject to equitable tolling." (Id.)

Thus, the Complaint fails to plead sufficient facts to toll the statute of limitations period under Code of Civil Procedure Section 871.21, subdivision (b) and cannot equitably estop GM from raising such defense as to the first through third causes of action.

2. Fourth Cause of Action for Breach of the Implied Warranty of Merchantability

Pursuant to Civil Code Section 1792, "Unless disclaimed in the manner prescribed by this chapter, every sale of consumer goods that are sold at retail in this state shall be accompanied by the manufacturer's and the retail seller's implied warranty that the goods are merchantable. The retail seller shall have a right of indemnity against the manufacturer in the amount of any liability under this section." (Civ. Code, § 1792.) "[U]nder the implied warranty of merchantability and the Song-Beverly Act: products must '(1) pass without objection in the trade under the contract description; (2) [be] fit for the ordinary purposes for which those goods are

used; (3) [be] adequately contained, packaged, and labeled; and (4) conform to the promises or affirmation of fact made on the container or label.' ” (Gagetta v. Walmart, Inc. (N.D. Cal. 2022) 646 F.Supp.3d 1164, 1178.)

“The statute of limitations for a violation of warranty is four years.” (Flat v. Ford Motor Company (N.D. Cal. 2023) 678 F.Supp.3d 1138, 1140 citing to Mexia v. Rinker Boat Co. (2009) 174 Cal.App.4th 1297, 1305-06 Krieger v. Nick Alexander Imports, Inc. (1991) 234 Cal.App.3d 205, 215 [“Section 2725 of the California Uniform Commercial Code provides that an action for breach of warranty accrues on tender of delivery. An exception is made where a warranty ‘explicitly extends to future performance of the goods and discovery of the breach must await the time of such performance.’ ”].) “Typically, a breach of the implied warranty of merchantability occurs at the date of sale.” (Id. at 1141.) “However, the Song-Beverly Act provides that the ‘duration of the implied warranty of merchantability and where present the implied warranty of fitness shall be coextensive in duration with an express warranty ... but in no event ... have a duration of less than 60 days nor more than one year following the sale of new consumer goods to a retail buyer.’ ” Nonetheless, the California Court of Appeal determined that the durational limit set forth in Civil Code Section 1791.1, subdivision (c) extends the implied warranty to future performance. (Id.) Thus, “the implied warranty of merchantability may be breached by a latent defect undiscoverable at the time of sale but must occur no later than the durational limit set forth in Section 1791.1(c).” (Id.)

The Complaint alleges, inter alia, that Plaintiff purchased and/or leased the Subject Vehicle on or about July 30, 2018, which was manufactured and/or distributed by GM. (Compl., ¶6.) Plaintiff received express warranties including but not limited to the bumper-bumper warranty, powertrain warranty, emission warranty, etc. (Id., ¶7, Ex. A.) During the applicable express warranty period, the Subject Vehicle manifested defects and nonconformities including but not limited to transmission defects, engine defects, electrical defects, etc. (Id., ¶11.) These defects and nonconformities substantially impaired the use, value, or safety of the Subject Vehicle. (Id., ¶12.)

Taking

these allegations as true, the earliest date the implied warranties regarding the defects alleged could have accrued was the date of purchase and/or lease, July 30, 2018. This action was filed on

January 21, 2025, which is approximately seven (7) years after the purchase and/or lease date. As such, absent properly plead facts showing tolling provisions apply, the fourth cause of action was filed outside of the four-year statute of limitations period.

As previously discussed, the Complaint fails to plead sufficient facts showing that class action tolling and/or statutory tolling applies to this instant action. (Compl., ¶¶22-23.) To the extent that Plaintiff argues the Complaint pleads facts to support delayed discovery, thus tolls the statute of limitations period (Opp. at 10:18-11:22), it is not supported by published legal authority. (See *Goldstein v. General Motors LLC* (S.D. Cal. 2021) 517 F.Supp.3d 1076, 1094 [“Song-Beverly’s statute of limitations is four years, and the discovery rule does not apply to toll the statute of limitations”]; see also *Mexia v. Rinker Boat Co., Inc.* (2009) 174 Cal.App.4th 1297, 1305 [“the warranty of merchantability is breached, by the existence of the unseen defect, not by its subsequent discovery.”].)

On the other hand, a defendant may be equitably estopped from asserting the statute of limitations as a defense “(1) if one potentially liable for a construction defect represents, while the limitations period is still running, that all actionable damage has been or will be repaired, thus making it unnecessary to sue, (2) the plaintiff reasonably relies on this representation to refrain from bringing a timely action, (3) the representation proves false after the limitations period has expired, and (4) the plaintiff proceeds diligently once the truth is discovered.” (*Lantzy v. Centex Homes* (2003) 31 Cal.4th 363, 384.) “Tolling during a period of repairs generally rests upon the same legal basis as does an estoppel to assert the statute of limitations, i.e., reliance by the plaintiff on the words or actions of the defendant that repairs will be made.” (*Cardinal Health 301, Inc. v. Tyco Electronics Corp.* (2008) 169 Cal.App.4th 116, 133–134.)

The Complaint alleges that Plaintiff presented the Subject Vehicle to GM’s representative in California, who failed to commence service or repairs within a reasonable time and failed to service or repair the Subject Vehicle to conform to the applicable warranties within 30 days. (Compl., ¶32.) However, the Complaint is devoid of any allegations that GM’s representative told Plaintiff that the alleged defects had been repaired; Plaintiff relied on such representation; and the representation was proven false after the statute of limitations period expired.

Accordingly, the Complaint fails to plead sufficient facts to either toll the statute of limitations period and/or estop GM from raising such defense as to the fourth cause of action.

3. Fifth Cause of Action for Fraudulent Inducement – Concealment

“The statute of limitations of section 338, subdivision (d) provides a limitations period for fraud of three years. (Code Civ. Proc., § 338, subd. (d).) This section effectively codifies the delayed discovery rule in connection with actions for fraud, providing that a cause of action for fraud ‘is not to be deemed to have accrued until the discovery, by the aggrieved party, of the facts constituting the fraud or mistake.’ ” (Britton v. Girardi (2015) 235 Cal.App.4th 721, 733–734.) “The ‘date the complaining party learns, or at least is put on notice, that a representation was false’ is the date the statute starts running.” (Id.)

The Complaint alleges that Plaintiff discovered GM’s wrongful conduct shortly before the filing of the Complaint, as the Subject Vehicle continued to exhibit symptoms of defects following GM’s unsuccessful attempts to repair them. (Compl., ¶123.) Therefore, contrary to GM’s contention, whether the fifth cause of action is time-barred does not appear on the face of the Complaint. Nonetheless, the fifth cause of action fails to plead fraudulent inducement – concealment with the required specificity.

Fraud based on concealment requires that “(1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage.” (Bigler-Engler v. Breg, Inc. (2017) 7 Cal.App.5th 276, 310-311 (Bigler-Engler).)

An essential element of intentional concealment includes the duty to disclose, which must be based upon a transaction, or a special relationship, between plaintiff and defendant. (Id. at p. 314.) “There are ‘four circumstances in which

nondisclosure or concealment may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts.” (Id. at p.

311.) “[O]ther than the first instance,

in which there must be a fiduciary relationship between the parties, ‘the other three circumstances in which nondisclosure may be actionable presuppose[] the existence of some other relationship between the plaintiff and defendant in which a duty to disclose can arise. . . . “[W]here material facts are known to one party and not to the other, failure to disclose them is not actionable fraud unless there is some relationship between the parties which gives rise to a duty to disclose such known facts.”

[Citation.]’ [Citation.]” (Hoffman v. 162 North Wolfe LLC (2014)

228 Cal.App.4th 1178, 1187 (Hoffman).)

“Even under the strict rules of common law pleading, one of the canons was that less particularity is required when the facts lie more in the knowledge of the opposite party.” (Alfaro

v. Community Housing Improvement System & Planning Assn., Inc. (2009)

171 Cal.App.4th 1256, 1384.)

The Complaint

alleges, inter alia, that the Subject Vehicle suffered from one or more defects that can result in hesitation/delayed acceleration, harsh/hard shifting, jerking, shuddering/juddering, surging and/or inability to control the Subject Vehicle’s speed, acceleration/deceleration, symptoms requiring reprogramming of the transmission control module (“TCM”) and/or powertrain control module (“PCM”), failure or replacement of the transmission (collectively, “Transmission Defect”). (Compl., ¶47.) GM knew about the Transmission Defect before Plaintiff purchased the Subject Vehicle “through sources not available to consumers such as Plaintiff, including but not limited to pre-production and post-production testing data; early consumer complaints about the Transmission Defect made directly to Defendant GM and its network of dealers; aggregate warranty data compiled from Defendant GM’s network of dealers; testing conducted by Defendant GM in response to these complaints; as well as warranty repair and part replacements data received by Defendant GM from Defendant GM’s network of dealers, amongst other sources of internal information” and failed to disclose it. (Id., ¶¶45-46, 48, 50-52.) Had Plaintiff known about the Transmission defect prior to the sale of the Subject

Vehicle, she would not have purchased it. (Id., ¶55.) As a result, “Plaintiff has suffered and will continue to suffer actual damages. Plaintiff was harmed by purchasing a vehicle that Plaintiff would not have leased and/or purchased had Plaintiff known the true facts about the Transmission Defect. Furthermore, Plaintiff unknowingly exposed themselves to the risk of liability, accident and injury as a result of Defendant GM's fraudulent concealment of the Transmission Defect.” (Id., ¶56.)

Taking these allegations as true, the Complaint pleads facts showing the information that was concealed and the danger posed. (See *Jones v. ConocoPhillips Co.* (2011) 198 Cal.App.4th 1187, 1199-1200.) However, Plaintiff does not allege facts showing the existence of a relationship between the parties that gives rise to a duty to disclose facts. (See *Hoffman*, supra, 228 Cal.App.4th at p. 1187.) The Bigler-Engler Court explained that a duty to disclose facts “arises only when the parties are in a relationship that gives rise to the duty, such as “seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual arrangement” [Citation]” and, in the absence of a fiduciary relationship, a fraudulent omission case may be grounded on one party's exclusive knowledge of material facts, active concealment of material facts or suppression of material facts in the context of a partial disclosure, but only where the parties share some sort of relationship in which a duty to disclose may arise. (*Bigler-Engler*, supra, 7 Cal.App.5th at p. 311 [citing to *Shin v. Kong* (2000) 80 Cal.App.4th 498, 509].) Furthermore, in *Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 844, the Dhital court found allegations that the manufacturer's dealership was its agent for purposes of the sale were sufficient to support a duty to disclose.

Here, the Complaint is devoid of any allegations that Plaintiff purchased the Subject Vehicle from GM's authorized retail dealer. (See *Ford Motor Warranty Cases* (2023) 89 Cal.App.5th 1324, 1342–1343 [“There are no allegations to support the conclusion that the dealers acted as FMC's agent in executing the sale contracts”].) Furthermore, the Complaint merely alleges that Plaintiff interacted with sale representatives and marketing materials concerning GM's vehicles but no allegations as to whether the sale representative from an authorized dealer gave Plaintiff marketing materials about the Subject Vehicle, showed Plaintiff the window sticker for the Subject Vehicle, and took the Subject Vehicle for a test drive while not informing Plaintiff about the Transmission Defect. (Compl., ¶49.)

Accordingly, the Complaint fails to sufficiently plead a claim for fraudulent inducement-concealment with the requisite particularity.

a. Economic Loss Rule

Under the economic loss rule, “[w]here a purchaser’s expectations in a sale are frustrated because the product he bought is not working properly, his remedy is said to be in contract alone, for he has suffered only ‘economic’ losses.” (Robinson Helicopter Co., Inc. v. Dana Corp. (2004) 34 Cal.4th 979, 988 (Robinson), quotation marks omitted.) However, tort damages may be permitted when the breach of contract is accompanied by a tort such as fraud. (Id. at pp. 989-990.) To plead around the economic loss rule, a party must plead the existence of a duty that arises independent of any contractual duty and independent injury, other than economic loss, that arises from the breach of that duty. (Id. at pp. 988-991.)

“[U]nder California law, the economic loss rule does not bar [a claim] for fraudulent inducement by concealment. Fraudulent inducement claims fall within an exception to the economic loss rule recognized by our Supreme Court” in Robinson, and such claims allege fraudulent conduct that is independent of the alleged warranty breaches. (Dhital v. Nissan North America, Inc. (2022) 84 Cal.App.5th 828, 843.) The Supreme Court recently confirmed that “the economic loss rule does not apply to limit recovery for intentional tort claims like fraud.” (Rattagan v. Uber Technologies, Inc. (2024) 17 Cal.5th 1, 38.) “A plaintiff may assert a tort claim for fraudulent concealment based on conduct occurring in the course of a contractual relationship, if the elements of the cause of action can be established independently of the parties’ contractual rights and obligations and the tortious conduct exposes the plaintiff to a risk of harm beyond the reasonable contemplation of the parties when they entered into the agreement.” (Ibid.) Therefore, a properly pleaded claim for fraudulent inducement is not barred by the economic loss rule.

As shown above, the Complaint fails to establish all elements of fraudulent concealment independent of the parties’ contractual rights and obligations under the warranty contract. Additionally, the

Complaint fails to allege any independent duty or harm beyond the terms of the contractual relationship, and only economic damages from breach of warranty are alleged. Specifically, the Complaint alleges that "Plaintiff has suffered and will continue to suffer actual damages. Plaintiff was harmed by purchasing a vehicle that Plaintiff would not have leased and/or purchased had Plaintiff known the true facts about the Transmission Defect. Furthermore, Plaintiff unknowingly exposed themselves to the risk of liability, accident and injury as a result of Defendant GM's fraudulent concealment of the Transmission Defect." (Compl., ¶156.) Accordingly, the fifth cause of action is barred by the economic loss rule.

IV.

CONCLUSION

Based on the foregoing, Defendant General Motors, LLC's Motion for Judgment on the Pleadings is GRANTED with 30 days leave to amend.

Defendant
General Motors, LLC to give notice.

Dated: September
28, 2026 _____

Hon. Karen Moskowitz

Judge of the Superior
Court